Microeconomics

Course Code: Hum 2101

Lecture 1:Introduction to Economics

Reference Books:

- Paul A. Samuelson and William D. Nordhaus: Economics,18th edition, McGraw-Hill
- Michael Parkin: Microeconomics, 5th edition, Addison-Wesley.
- N. Gregory Mankiw: Principles of Microeconomics, 4th edition, Cengage Learning.

Meaning of the word Economics

- The word economy comes from the Greek word ***'oikonomos'***.

- This Greek word has two parts –

  - **'Oikos'** meaning *Home*

  - **'Nomos'** meaning *Management*

Hence, Economics means *Home Management* or *One who manages a Household*.

What is Economics?

Economics is the study of how societies use scarce resources to produce valuable goods and services and distribute them among different individuals.

Two key ideas in Economics -

1. Goods are scarce
2. Society must use its resource efficiently

Why Study Economics?

- You'll Expand Your Vocabulary
- You'll Understand Your Own Spending Habits
- You'll Improve Your Career Prospects

- Behavior of the financial markets
- why do some people or countries have high incomes while others are poor
- Business cycles—the fluctuations in credit, unemployment, and inflation
- Impacts of globalization
- How government policies can be used

Some Basic Concept

- **Needs**: It is something you must have. Needs refers to an individual's basic requirement that must be fulfilled, in order to survive. For example – air, water, etc.
- **Wants**: It is something you wish to have. Wants are described as the goods and services, which an individual like to have, as a part of his caprices. For example – a video game or a movie ticket.
- **Goods**: A physical product we can hold and touch.
- **Services**: An action provided to us.
- **Resources**: Anything used to get or create goods and services.

Free Goods and Economic Goods

Economic Goods: Economic goods are goods that are scarce and have a monetary value attached to them.

One of the key characteristics of economic goods is that they require some form of sacrifice or effort to acquire. This sacrifice can be in the form of money, time, or effort.

Free Goods: A free good does not require scarce resources for its production and does not have a monetary value attached to it.

One of the key characteristics of free goods is that they are often consumed without any direct cost to the consumer.

Scarcity and Efficiency

Scarcity: Scarcity means that society has limited resources and therefore cannot produce all the goods and services people wish to have.

Efficiency: Efficiency means that society is getting the maximum benefits from its scarce resources.

Economic efficiency requires that an economy produce the highest combination of quantity and quality of goods and services given its technology and scarce resources. An economy is producing efficiently when no individual's economic welfare can be improved unless someone else is made worse off.

Two Main Branches of Economics:

Microeconomics: Microeconomics is the study of how individual households and firms make decisions and how they interact with each other in the market.

Macroeconomics: Macroeconomics is the study of the economy as a whole with respect to output, price, land, employment, and other aggregate economic variable.

Microeconomics

- Adam Smith is usually considered the father of the field of Microeconomics.
- 16th June, 1723 – 17th July, 1790
- Adam Smith is a Scottish economist
- ***An inquiry into the Nature and Causes of the Wealth of Nations***

Macroeconomics

- John Maynard Keynes is the founder of Macroeconomics.
- 5th June, 1883 – 21st April, 1946
- British Economist
- Macroeconomics did not even exist in its modern form until 1936 when John Maynard Keynes published his revolutionary ***General Theory of Employment, Interest, and Money***.
- Everyone could grasp the importance of Macroeconomics or recognize it as a branch of economics after the Great Depression in 1930. Since 1936, macroeconomics developed as a separate strand within economics.

Differences between Microeconomics & Macroeconomics

Microeconomics

- Individual Markets
- Studies the Effect on Prices of Goods and Services
- Concerned with Individual Labour Markets & Consumer Behaviour
- Major factors include, Demand, Supply, Factor Pricing, Product Pricing, Production Consumption, etc.

Macroeconomics

- The Economy as a Whole
- Studies Economic Growth, National Income, Inflation, GDP, etc.
- Concerned with National, Territorial, and World Economies
- Major factors include, National Income, Distribution, Monetary Policies, Employment, General Price Level, Productive Capacity of Economy, etc.

The Logic of Economics:

1. ***The post hoc Fallacy***: The post hoc fallacy occurs when we assume that, because one event occurred before another event, the first event caused the second event.
2. ***Failure to hold other constants*** *or* Cateris Paribus *or* all other things remain constant *or* nothing else changes.
3. ***The fallacy of composition***: When you assume that what is true for the part is also true for the whole, you are committing the fallacy of composition.

Positive Economics and Normative Economics

- Positive economics is concerned with - what is
- Normative economics is concerned with - what should be

Positive Economics: Positive economics talks about things that exist. They are facts that can be verifiable. You can prove it or disprove it.

Normative Economics: Normative economics is fiction. They aren't facts; rather, they are economists' opinions who tell us what they think. It can be true for some and false for some.

Positive Economics and Normative Economics

POSITIVE ECONOMICS	VS	NORMATIVE ECONOMICS
Describes the facts without making value judgments or opinions.		Describes the facts and makes value judgments.
It's responsible for understanding economic phenomena.		Formulates and states the desirable reality.
How things are.		How thing should be.
Examples		**Examples**
• The current unemployment rate is 20%. • Health spending is 25%.		• The level of unemployment must be 5% maximum. • Defense spending cannot be greater than 10%.

Three Fundamental Problems of Economics

1. **What** goods and services are to be produced and in **What** quantities?

2. **How** should these goods and services be produced?

3. **For whom** these goods and services be produced?

Factors of Production

Inputs are commodities or services that are used to produce goods and services. An economy uses its existing technology to combine inputs to produce outputs.

Outputs are the various useful goods or services that result from the production process and are either consumed or employed in further production.

Another term for inputs is factors of production. These can be classified into four broad categories: ***land, labor, and capital & Organization or* entrepreneurship.**

Factors of Production

Land—or, more generally, natural resources, represents the gift of nature to our societies.

Labor consists of the human time spent in production working in automobile factories, writing software, teaching school, or baking pizzas.

Capital resources form the durable goods of an economy, produced in order to produce yet other goods. Capital goods include machines, roads, computers, software, trucks, steel mills, automobiles, washing machines, and buildings.

Organization - An entrepreneur is a person who combines the different factors of production (land, labor, and capital), in the right proportion and initiates the process of production, and also bears the risk involved in it.